For example, if with ₹25 a bundle of goods can be purchased in India, which can be purchased by $1 in US, then exchange rate is ₹25 = US $1.

Converting Prevailing (BOP based) Exchange Rate into PPP

PPP exchange rate can be calculated from the prevailing exchange rate using price index of selected basket of commodities in two countries.

PPP exchange rate =Domestic price index of a basket of commodities/Foreign Price index of the same basket of commodities × Prevailing market exchange rate

= 25/50 × 50 = 25

The basket of commodities ought to be mix of both internationally traded goods and non-traded goods . The commodities chosen must be commonly used in all the countries whose purchasing power is compared.

Need for PPP

It is customary to compare level of development of different countries based on living standard of people. The standard of living is measured by proxy variable, namely per capita income. People in countries with high per capita income are considered to be enjoying high standard of living and such countries are considered developed countries. Later it was realised that standard of living is not in the amount of money they have but the amount of goods they can have with that money i. e. purchasing power of money.

To compare the income of the two countries, it is necessary to convert the income in different currencies into a single common currency. As of now, the common currency is US Dollar. The conversion is done with the help of trade based prevailing exchange rate. The trade based exchange rate does not reflect the true purchasing power of different currencies because all the goods needed are not traded. So, the trade